ECONOMY

Does consuming more mean living better?

Income and life satisfaction rise together, but each step buys less than the one before. The argument is over where, and for whom, it stops.

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Apples, pears and a ceramic pitcher on a linen cloth. · AI-generated image

Does consuming more equate to living better? In 1974, Richard Easterlin noted a puzzle: within a country, richer people were happier, yet average happiness barely moved as countries grew wealthier – and a long argument about the meaning of growth began. However, research based on far larger surveys argues that doubling an income brings a similar gain whether one starts poor or rich, meaning each additional dollar buys less happiness. [1]

Do the gains ever stop? A study based on about 450,000 survey responses from American residents found that while overall life evaluation rose with income, day-to-day emotional improvement plateaued at about 75,000 dollars a year. [2] In 2023, the two sides of the debate analysed the data together and found that for most people, happiness keeps rising with income; the plateau applies only to the least happy fifth of people, beyond about 100,000 dollars. [3] Furthermore, how money is spent matters: people spending money on others, as gifts or donations, reported greater happiness than those spending it on themselves. [4]

Sources

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